LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

WHAT IS CASH CREDIT (CC)?

TABLE OF CONTENTS

Chapter	Page no
Chapter 1: Product Overview & Historical Evolution of Cash Credit in India	Page 3
Chapter 2: Cash Credit (CC) vs. Bank Overdraft (OD) – The Definitive Taxonomy	Page 5
Chapter 3: How the Product Structure Works: The Drawing Power (DP) Lifecycle	Page 7
Chapter 4: Working Capital Assessment Methodologies in Indian Banking	Page 9
Chapter 5: Legal Framework, Security & Documentation Requirements	Page 11
Chapter 6: Market Sizing, Suitable Industries & Institutional Ecosystem in India	Page 13
Chapter 7: Commercial Mechanics, Pricing Models & Daily Reducing Balance Economics	Page 15
Chapter 8: Regulatory Compliance, IRACP Norms & 'Out of Order' Technical Defaults	Page 17
Chapter 9: Real-World Case Study (Ludhiana Garments Ltd. - INR Math)	Page 19
Chapter 10: Practice Examination & Test Questions (10 Comprehensive Modules)	Page 21

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 1: Product Overview & Historical Evolution of Cash Credit in India

Cash Credit (CC) represents the primary and most ubiquitous fund-based working capital facility extended by commercial banks and financial institutions in India. Specifically engineered to meet the day-to-day operational liquidity requirements of business enterprises—ranging from micro, small, and medium enterprises (MSMEs) to large manufacturing conglomerates—a Cash Credit account functions as a revolving, transaction-backed, and secured line of credit. Unlike traditional term loans that provide a lump-sum disbursement with structured monthly principal repayments, Cash Credit allows a business to withdraw funds as and when needed up to a predetermined limits, deposit surplus commercial receipts to reduce the outstanding balance, and redraw capital continually as raw materials are procured and inventory is sold. This dynamic revolving mechanism provides unmatched operational flexibility, ensuring that a business only pays interest on the actual capital utilized on a daily reducing balance basis, rather than on the entire sanctioned credit limit.

Historically, commercial trade in India relied heavily on informal credit systems, community-based networks, and traditional 'Hundis' (indigenous bills of exchange) under the Negotiable Instruments Act, 1881. To modernize this fragmented and high-risk system, the Reserve Bank of India (RBI) introduced structured working capital frameworks in the post-independence era. The formalization of Cash Credit began in earnest with the recommendations of the pioneering **Tandon Committee (1974)** and the subsequent **Chore Committee (1979)**. These landmark committees sought to curb credit hoarding and diversion by establishing rigorous credit appraisal standards, standardizing working capital loan limits, and introducing the 'Maximum Permissible Bank Finance' (MPBF) formulas. These historic guidelines transformed industrial credit from a loosely monitored facility into an structured, transaction-backed, and security-monitored cash-flow tool. The committees established that working capital bank lines must always co-exist with a mandatory equity/contribution stake from the business promoter (the Net Working Capital), laying the foundational banking principles of safety, liquidity, and security that govern modern Indian commercial lending.

Under modern RBI master circulars and guidelines, Cash Credit remains a perennial source of operational liquidity, serving as a vital credit bridge for trade cycles. While industrial systems have transitioned to digital-first credit evaluations, automated ledger reconciliations, and immediate API integrations with the Goods and Services Tax Network (GSTN), the core credit principles established by these early committees remain the bedrock of bank credit management today.

> **HISTORICAL TRADING PERSPECTIVE**
> "The transition of commercial trade credit from asset-backed, collateral-heavy physical pledges to dynamic, transaction-backed revolving accounts is the single most important operational shift in the history of Indian banking. It bridged the structural cash flow gap of emerging industries and catalyzed the growth of the nation's manufacturing and retail trading ecosystems."

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 2: Cash Credit (CC) vs. Bank Overdraft (OD) – The Definitive Taxonomy

For finance rookies and business owners, Cash Credit (CC) and Bank Overdraft (OD) are frequently confused as identical revolving credit lines, since both utilize running transactional accounts where interest is charged only on the utilized debit balance. However, in the professional banking ecosystem, these two credit products serve distinct financial purposes, require different security structures, target separate borrower profiles, and operate under unique regulatory parameters. To master the mechanics of commercial credit, a rookie must be able to differentiate between these two mechanisms instantly.

The primary distinction lies in the underlying security and intent. A Cash Credit facility is a dedicated, transaction-backed working capital facility designed specifically to finance current assets. It is secured strictly by the **primary hypothecation of current assets**—namely raw materials, work-in-process (WIP), finished goods inventory, and book debts (receivables) raised on commercial buyers. The credit limit is dynamically tied to the valuation of these current assets, requiring monthly stock statements to compute the active drawing power. In contrast, a Bank Overdraft (OD) is a more general-purpose credit facility designed to bridge short-term cash mismatches and is typically secured by **financial or immovable collateral**—such as fixed deposits, residential/commercial real estate, listed shares, or life insurance policies. An overdraft limit is fixed at sanctioning and does not require monthly current asset inventory declarations to determine its operational borrowing limits.

The following comparative table establishes a rigorous, multidimensional taxonomy to differentiate these two revolving credit options, ensuring absolute clarity across operational and legal parameters.

Operational Parameter	Cash Credit (CC) Facility	Bank Overdraft (OD) Facility
Primary Financial Intent	Meeting continuous, transaction-backed working capital trade cycles (procurement and holding).	Bridging short-term liquidity mismatches, personal financing, or general business requirements.
Primary Security Required	Hypothecation of current assets: stocks, work-in-process, raw materials, and accounts receivable.	Collateral security: Fixed Deposits (FD), real estate, gold, shares, or life insurance policies.
Limit Determination Basis	Dynamically computed month-on-month based on Stock & Debtors statements minus sundry creditors.	Fixed at the time of sanction based on the valuation of the underlying collateral or historical bank deposits.
Account Nature & Operation	Revolving transactional account linked directly to daily commercial purchase and sales flows.	Running transaction account, frequently linked to a standard corporate or personal current account.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Borrowing Power Changes	Dynamic. Varies monthly with inventory holdings, aging debtors, and unpaid stock creditors.	Static. Remains fixed at the sanctioned limit regardless of monthly fluctuations in current assets.
Target Segment	Manufacturing units, wholesale distributors, retail traders, and industrial contractors.	Professional services, retail individuals, promoters, and businesses with stable immovable collateral assets.
Mandatory Submissions	Monthly Stock & Debtors statements, bank statements, annual GST audits, and periodic stock audits.	No monthly stock statement required. Account reviewed annually based on credit behavior and asset values.
Typical Interest Spread	Floating. Linked to bank EBLR, generally lower due to transaction-backed monitoring and priority sector rules.	Floating. Linked to bank EBLR/MCLR, typically slightly higher depending on collateral liquidability.

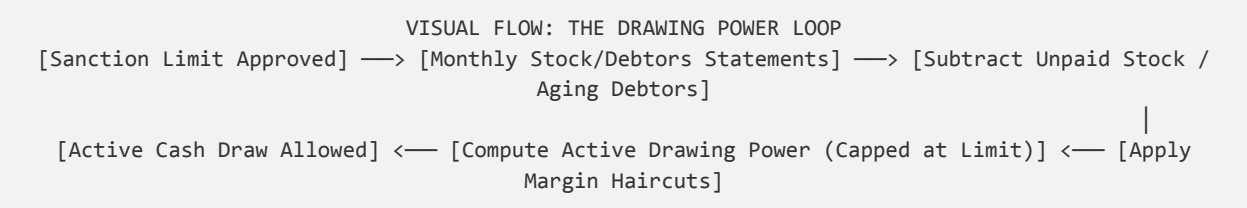
Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 3: How the Product Structure Works: The Drawing Power (DP) End-to-End Lifecycle

The operational heartbeat of a Cash Credit facility is the concept of Drawing Power (DP). A common mistake made by beginners is assuming that once a bank sanctions a Cash Credit limit of ₹1 Crore, the business is legally entitled to withdraw ₹1 Crore at any time. In practice, the sanctioned limit represents nothing more than the **maximum theoretical credit boundary** approved by the bank's credit committee. The actual, operational borrowing limit on any given day is determined by the Drawing Power, which is computed dynamically every single month based on the current value of the borrower's inventory and book debts, adjusted for margin haircuts and sundry creditors (unpaid stock).

The End-to-End Lifecycle of Drawing Power consists of five distinct operational phases, running continuously in a monthly loop to align corporate borrowing capacity with real-time trading volumes.

- **1. Limit Sanctioning:** The bank conducts a thorough credit appraisal, evaluating the business's projected sales, working capital cycles, and historical financial parameters. A formal Credit Sanction Letter is issued, defining the maximum credit limit, the required safety margins (e.g., 25% on stock, 40% on debtors), and eligible asset profiles (e.g., receivables less than 90 days old).
- **2. Monthly Stock Statement Submission:** By the 10th or 15th of every month, the borrower is contractually mandated to submit a detailed Stock and Debtors Statement. This statement lists the quantity, grade, and cost of raw materials, work-in-process, and finished goods inventory, along with an aging schedule of outstanding receivables and the value of outstanding sundry creditors (unpaid stock).
- **3. Safety Margin Application:** To insulate themselves from price drops, deterioration, or collection failures, banks apply safety haircuts. A typical 25% safety margin on stock means the bank is willing to finance only 75% of the paid stock valuation. A 40% margin on debtors means the bank advances only 60% of eligible receivables, shifting the collection risk buffer to the borrower's equity.
- **4. Dynamic DP Computation:** The bank's credit system processes the statements, subtracts unpaid stock (sundry creditors) from total inventory to prevent double financing, and applies the safety margins. The resulting figure is the dynamic Drawing Power. If the calculated DP is lower than the sanctioned limit, the borrower's withdrawal ceiling is restricted to the DP. If the calculated DP exceeds the sanctioned limit, the borrowing capacity is capped at the sanctioned limit.
- **5. Fund Utilization & Real-time Sweeping:** The borrower utilizes the CC line for daily operations. As inventory is sold and cash is received, the proceeds are immediately routed back into the CC account. This continuous sweeping mechanism dynamically reduces the utilized debt balance, minimizing interest costs and ensuring optimal capital utilization.



Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 4: Working Capital Assessment Methodologies in Indian Banking

Indian commercial banks utilize three primary assessment methodologies to determine a business's eligibility and sanction appropriate Cash Credit limits. Understanding these methodologies is absolutely critical, as they form the quantitative basis of credit appraisal, limits setting, and risk rating during the underwriting process.

1. Nayak Committee / Projected Turnover Method (PTM)

Formulated by the Committee to Examine the Adequacy of Institutional Credit to MSMEs (headed by Shri P.R. Nayak), this method is mandatory for setting working capital limits up to **₹5 Crores** (specifically for micro and small enterprises). The underlying credit philosophy assumes that a standard business requires a working capital cycle equivalent to approximately 3 months (25%) of its annual business turnover.

- • **Projected Annual Turnover (PAT):** Established through historical sales growth, signed supply orders, and verified GST filings.
- • **Total Working Capital Requirement:** Assessed at exactly **25% of the PAT**.
- • **Promoter's Net Working Capital (NWC):** The business owner must contribute a minimum of **5% of the PAT** as equity margin.
- • **Sanctioned Bank Credit (CC Limit):** Calculated as **20% of the PAT** (Working Capital Requirement minus NWC).

2. Tandon Committee / Maximum Permissible Bank Finance (MPBF) Method

For larger corporate borrowers with fund-based exposures exceeding **₹5 Crores**, banks utilize the structured guidelines established by the Tandon Committee. The most widely utilized standard is the **Second Method of Lending**, which enforces a highly conservative financial leverage ratio to ensure robust corporate liquidity.

- • **Total Current Assets (TCA):** The sum of inventory, receivables, cash, and other short-term assets assessed for the operating cycle.
- • **Other Current Liabilities (OCL):** Short-term liabilities excluding bank working capital loans (such as sundry creditors, provisions, expenses).
- • **Working Capital Gap (WCG):** Calculated as **TCA minus OCL**.
- • **Promoter's Mandatory Contribution (NWC):** Assessed at a minimum of **25% of the Total Current Assets (TCA)**.
- • **Maximum Permissible Bank Finance (MPBF):** Calculated as **WCG minus NWC** = **(TCA - OCL) - (0.25 * TCA)**.

By tying the promoter's contribution directly to Total Current Assets rather than the Working Capital Gap, the Second Method of Lending guarantees that the business maintains a minimum current ratio of **1.33:1**, providing a strong safety cushion for institutional lenders.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

3. Cash Budget Method

For seasonal, highly cyclical, or long-cycle transaction businesses—such as sugar mills, tea plantations, civil engineering contractors, and software developers—banks abandon the PTM and MPBF methods. Instead, they utilize the Cash Budget Method. Under this approach, the borrower submits a month-on-month projection of cash inflows (collections from buyers, equity, sales) and cash outflows (raw material purchases, labor wages, utilities, interest). The bank assesses the **peak seasonal cash deficit** projected over the working capital cycle, setting the sanctioned Cash Credit limit to fund this peak deficit, which is reviewed monthly against actual performance statements.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 5: Legal Framework, Security & Documentation Requirements

Although a Cash Credit facility operates as a highly flexible, revolving line, it is structured on a rigorous, watertight legal and security framework under Indian commercial law. Lenders utilize a combination of primary charges, collateral security, and statutory filings to safeguard institutional funds and prevent credit defaults.

Primary Security: Hypothecation vs. Pledge

The primary security for a CC facility is the hypothecation of current assets. Under Section 2 of the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act, 2002, **Hypothecation** is defined as a charge created in or upon any movable property, existing or future, created by a debtor in favor of a secured creditor, without delivery of possession of the property to the creditor. This means the borrower retains physical possession of the raw materials, WIP, and stock, allowing them to use, sell, and rotate assets freely to run their business. In contrast, a **Pledge** (governed by the Indian Contract Act, 1872) requires the physical delivery of possession of the goods to the lender (such as storing agricultural commodities in a bank-controlled warehouse with bank locks). While pledges provide superior credit control, they are too restrictive for active manufacturing, making hypothecation the standard charge for Cash Credit lines.

Preventing Double Financing & CERSAI Filings

To prevent 'double-financing'—where a borrower fraudulently secures multiple loans from different banks against the same movable inventory—Indian regulations enforce strict reporting mandates. Lenders must conduct physical inspections, audit stock registers, and register their hypothecation charge on the **CERSAI (Central Registry of Securitisation Asset Reconstruction and Security Interest of India)** portal. Under the Factoring Regulation Act and credit directions, any charge created on current assets must be filed on the CERSAI portal within a mandatory **30-day statutory window** of creation. This registry provides a centralized digital search engine, allowing subsequent financiers to verify immediately if an asset is already encumbered.

Crucially, banks must enforce the strict exclusion of **sundry creditors for raw materials (unpaid stock)** from the monthly stock statements. Since the raw material suppliers have not yet been paid, the title of those goods remains contestable, and financing them would constitute double-financing (where the supplier's credit and bank's credit overlap on the same asset). Therefore, unpaid stock must be subtracted from the total inventory base before computing Drawing Power.

Key Legal Documents for Sanctioning:

- • **Demand Promissory Note (DPN):** An unconditional, legally binding undertaking signed by the borrower promising to pay the bank on demand the full sanctioned principal plus interest.
- • **Master Hypothecation Agreement:** The central contract defining the bank's floating charge over existing and future current assets, stock holding covenants, and inspection rights.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

- • **Tripartite Agreement (Escrow):** Required for large trade debtors, directing corporate buyers to remit collections directly into the bank-controlled escrow/collection account.
- • **Personal Guarantees:** Unconditional personal guarantees of the promoting directors and partners to pierce the corporate veil and enforce recovery directly from personal estates.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 6: Market Sizing, Suitable Industries & Institutional Ecosystem in India

Cash Credit remains the dominant engine of commercial bank credit in India. According to credit landscape studies, outstanding commercial credit balances exceeded ₹120 Lakh Crores, with working capital revolving limits (CC and OD) composing a substantial majority of corporate exposures. Citing Credit Bureau and **CIBIL MSME Pulse** reports, micro, small, and medium enterprises rely heavily on revolving fund-based lines to survive commercial cash cycles.

Sectoral analysis shows that **Retail and Wholesale Traders represent the largest segment of CC borrowers**, making up approximately **44% of total outstanding commercial borrowers** in the ₹10 Lakh to ₹2 Crore aggregate exposure segment. This is followed by manufacturing units (28%) and service contractors (18%).

Suitable Industries and Corporate Profiles:

- • **Manufacturing & Heavy Engineering:** Auto-component makers, steel fabricators, and packaging units that face a long gap between procuring raw materials (raw steel, plastic) and receiving final payments from large corporate buyers.
- • **Wholesale and Retail Distribution:** Fast-Moving Consumer Goods (FMCG) and consumer durable distributors who must maintain massive inventory levels (warehousing stock) to supply retail dealer networks.
- • **Construction and Civil Contracting:** Contractors who require revolving liquidity to fund labor, cement, and equipment purchases while awaiting progressive Running Account (RA) bill clearished by public sector undertakings.

The institutional ecosystem is led by Public Sector Banks (PSBs), with the **State Bank of India (SBI)** holding an absolute, near-monopolistic lead. As documented in its annual reports, SBI maintains an Electronic Dealer Financing Scheme (e-DFS) and Electronic Vendor Financing Scheme (e-VFS) portfolio exceeding ₹77,000 Crores, alongside traditional industrial CC balances. Private sector giants (HDFC Bank, ICICI Bank, Axis Bank) maintain a rising share, leveraging API-driven digital channels, automated stock audit portals, and real-time bank statement evaluations to expedite annual reviews.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 7: Commercial Mechanics, Pricing Models & Daily Reducing Balance Economics

The pricing and commercial mechanics of a Cash Credit facility are uniquely designed to align borrowing costs directly with actual business utilization. Unlike retail term loans where interest is pre-calculated and amortized as a fixed monthly EMI, a CC line uses a dynamic pricing structure linked to external benchmarks and transaction velocities.

1. Daily Reducing Balance Interest Computation

Interest in a Cash Credit account is calculated on a daily reducing balance basis. At the end of every day, the bank's core banking system (CBS) identifies the closing debit balance of the CC account. The interest charge for that day is calculated using the following formula:

```
DAILY INTEREST CHARGE = (Closing Debit Balance * Applicable Interest Rate) / (365 * 100)
```

The calculated daily interest charges are accumulated over the calendar month and formally debited into the CC account on the final working day of that month. This debit increases the outstanding principal balance for the next month, compounding monthly if the interest is not serviced by commercial credits.

2. External Benchmark Linked Pricing (EBLR)

Under RBI directions, commercial banks must link their floating working capital interest rates to an External Benchmark Lending Rate (EBLR)—typically the RBI's **Repo Rate** or Treasury Bill yields. The applicable interest rate is structured as follows:

- • **Base Benchmark (Repo Rate):** The floating interest rate set by the RBI Monetary Policy Committee.
- • **Bank Credit Spread:** A fixed percentage added by the bank, reflecting operating costs, reserve requirements, and general administrative overhead.
- • **Risk-Rating Premium:** An additional premium (0.25% to 2.0%) tied directly to the borrower's external and internal credit ratings. A highly rated AAA corporate secures a lower spread, while an MSME with a lower rating faces a higher premium to compensate the bank for default risk.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

3. Operational Fees and Penal Charges

- • **Commitment Charges on Unutilized Limits:** To prevent 'credit hoarding'—where businesses secure large limits but leave them dormant—banks enforce commitment fees. Under RBI guidelines, if the average utilization of the sanctioned CC limit falls below a target threshold (typically 50% or 60%), the bank is legally entitled to charge a commitment fee (0.05% to 0.25% p.a.) on the unutilized portion.
- • **Penal Interest on Excess Drawals:** If a borrower withdraws funds in excess of their sanctioned limit or calculated Drawing Power (known as 'Temporary Overdraft' or Ad-hoc drawal), banks apply penal interest—ranging from **18% to 24% p.a.**—calculated on the excess portion from the day of breach until the account is brought back within limits.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 8: Regulatory Compliance, IRACP Norms & 'Out of Order' Technical Defaults

Because Cash Credit facilities represent massive, highly leveraged revolving exposures, they are governed by some of the strictest regulatory guidelines mandated by the Reserve Bank of India. To maintain financial stability and protect public deposits, banks must enforce absolute compliance with Income Recognition, Asset Classification, and Provisioning (IRACP) standards.

The 'Out of Order' NPA Triggers

Under RBI's Master Directions, unlike term loans which become Non-Performing Assets (NPAs) if an EMI remains unpaid for more than 90 days, a Cash Credit account is legally classified as **'Out of Order' (and subsequently downgraded to NPA)** if it meets any of the following three conditions:

- **Condition A (Excess Balance):** The outstanding balance in the CC account remains continuously in excess of the sanctioned credit limit or the calculated Drawing Power for a continuous period of **90 days**.
- **Condition B (Insufficient Credits):** The outstanding balance is less than the sanctioned limit/drawing power, but there are **no credits** deposited into the CC account for a continuous period of **90 days**.
- **Condition C (Interest Uncovered):** There are credits deposited into the CC account within the 90-day window, but the total cumulative credits are **insufficient to cover the total interest debited** into the account during the same 90-day period.

These watertight rules ensure that borrowers cannot use Cash Credit as a permanent interest-free loan or hide business insolvency by leaving accounts dormant.

Technical Defaults & Auto-NPA Classifications

In addition to transactional defaults, the RBI enforces two critical 'Technical Defaults' that trigger automatic asset downgrades to NPA:

- • **Delayed Review/Renewal:** Cash Credit limits are sanctioned for a maximum tenure of **1 year (12 months)**. Lenders are granted a short administrative grace window of 180 days to complete the annual review and renewal. If an account is not formally reviewed and renewed within **180 days of its original expiry date**, it is automatically classified as a Non-Performing Asset (NPA), regardless of its credit balance status.
- • **Stock Statement Delays:** If the Stock and Debtors Statement submitted by the borrower is **older than 3 months (90 days)**, the drawing power is deemed invalid, and the account is considered operating on unauthorized credit. If the delay in submitting fresh statements exceeds **180 days (6 months)**, the account is automatically downgraded to NPA.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Current Account Opening Restrictions

To prevent credit diversion, where borrowers draw funds from a CC account and route them through multiple current accounts at other banks, the RBI implemented strict guidelines on opening current accounts. For borrowers with credit system exposures exceeding **₹50 Crores**, a mandatory **Escrow Mechanism** must be established. All receipts from buyers must be routed through the escrow account, and no bank is permitted to open a current account for such a borrower unless they are part of the consortium lending arrangement, ensuring a centralized, monitored fund flow.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 9: Real-World Case Study (Ludhiana Garments Ltd. - INR Math)

To bridge the gap between financial theory and commercial banking operations, we analyze a detailed, step-by-step working capital scenario of an apparel manufacturing enterprise based in Ludhiana, Punjab: **Ludhiana Garments Ltd.**

The company has been sanctioned a revolving **Cash Credit limit of ₹2,00,00,000 (₹2 Crore)** by a partner public sector bank. The applicable interest rate is set at **10.0% p.a. (floating, EBLR-linked)** on a daily reducing balance basis.

Underlying Credit Covenants:

- • **Mandatory Safety Margin on Inventory (Stock):** 25% margin required (Advance rate = 75% of paid stock).
- • **Mandatory Safety Margin on Book Debts (Debtors):** 40% margin required (Advance rate = 60% of eligible debtors).
- • **Eligible Debtors Criteria:** Receivables must be backed by genuine GST invoices and be less than 90 days old from invoice date.

Part I: Asset Valuation and Dynamic Drawing Power (DP) Computation

On November 30, 2026, the company submits its monthly Stock and Debtors statement to the bank with the following valuations:

- • **Raw Materials Inventory:** ₹1,50,00,000
- • **Stock-in-Process (SIP) at cost:** ₹40,00,000
- • **Finished Goods (Apparel stock):** ₹60,00,000
- • **Sundry Creditors (Unpaid Stock / RM Purchases):** ₹30,00,000
- • **Total Outstanding Debtors (Receivables):** ₹80,00,000 (of which ₹10,00,000 is older than 90 days)

To calculate the dynamic Drawing Power, the credit department performs the following adjustments:

Calculation Step	Valuation Math & Formula	Resulting Value (INR)
1. Total Gross Inventory Base	Raw Materials + SIP + Finished Goods = ₹1,50,00,000 + ₹40,00,000 + ₹60,00,000	**₹2,50,00,000**
2. Less Sundry Creditors (Unpaid)	Subtract unpaid raw material creditors to prevent double-financing.	**-₹30,00,000**
3. Net Paid Inventory Base	Gross Inventory - Sundry Creditors = ₹2,50,00,000 - ₹30,00,000	**₹2,20,00,000**

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

4. Eligible Inventory DP	Net Paid Base * (1 - Stock Margin) = ₹2,20,00,000 * 75% (0.75)	**₹1,65,00,000**
5. Gross Outstanding Debtors Base	Total outstanding receivables on the company's ledger.	**₹80,00,000**
6. Less Ineligible Overdue Debtors	Deduct debtors older than 90 days to exclude non-performing receivables.	**-₹10,00,000**
7. Net Eligible Debtors Base	Gross Debtors - Ineligible Overdue = ₹80,00,000 - ₹10,00,000	**₹70,00,000**
8. Eligible Debtors DP	Net Eligible Base * (1 - Debtors Margin) = ₹70,00,000 * 60% (0.60)	**₹42,00,000**
9. Total Calculated Drawing Power	Eligible Inventory DP + Eligible Debtors DP = ₹1,65,00,000 + ₹42,00,000	**₹2,07,00,000**
10. Active Borrowing Ceiling	Capped at the Sanctioned Limit (₹2,00,00,000) because Calculated DP exceeds it.	**₹2,00,00,000**

★ Rationale for Dynamic Drawing Power Limit:
Even though the calculated total Drawing Power is ₹2,07,00,000 (which is the asset value backing), the active borrowing ceiling remains strictly capped at ₹2,00,00,000 (the sanctioned credit limit). The bank will refuse any cash withdrawal requests exceeding ₹2,00,00,000 on this date.

Part II: 5-Day Transaction Ledger and Daily Reducing Interest

The following table demonstrates the daily utilization of the Cash Credit account by Ludhiana Garments Ltd. over a 5-day cycle, showing how deposit sweeps minimize borrowing costs.

Day & Date	Description of Transaction	Transaction Value	Closing Balance (DR)	Daily Interest Math (10% p.a.)	Daily Interest Cost
Day 1: Dec 1	Opening Outstanding Balance	₹0	₹1,80,00,000 (DR)	(₹1,80,00,000 * 10% * 1) / 365	**₹4,931.51**
Day 2: Dec 2	Wages & RM Payment	₹15,00,000 (DR)	₹1,95,00,000 (DR)	(₹1,95,00,000 * 10% * 1) / 365	**₹5,342.47**

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Day 3: Dec 3	Buyer Cheque Deposit	₹25,00,000 (CR)	₹1,70,00,000 (DR)	(₹1,70,00,000 * 10% * 1) / 365	**₹4,657.53**
Day 4: Dec 4	GST & Utility Settlement	₹8,00,000 (DR)	₹1,78,00,000 (DR)	(₹1,78,00,000 * 10% * 1) / 365	**₹4,876.71**
Day 5: Dec 5	Retail Sales Cash Deposit	₹12,00,000 (CR)	₹1,66,00,000 (DR)	(₹1,66,00,000 * 10% * 1) / 365	**₹4,547.95**

★ Real-World Economic Insight:
Over this 5-day cycle, the borrower's total interest cost is exactly ₹24,356.17. This ledger highlights why Cash Credit is the most efficient working capital facility: by immediately depositing the ₹25,00,000 and ₹12,00,000 cash receipts, the business drastically reduced its utilized principal and saved ₹2,136.98 in interest cost compared to a standard interest-bearing fixed line (which would have charged interest on the entire ₹1,95,00,000 peak throughout).

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Chapter 10: Practice Examination & Test Questions (10 Comprehensive Modules)

This chapter contains a rigorous, scenario-based practice examination designed specifically to evaluate a fintech rookie's understanding of Cash Credit operations, regulatory IRACP norms, Nayak and Tandon assessment math, drawing power computation rules, and security hypothecation covenants in India.

Question 1 (Multiple Choice)

How does the 'Projected Turnover Method' (Nayak Committee) determine the sanctioned Cash Credit limit for small enterprises?

A) The credit limit is assessed based on the peak cash deficit projected in the cash budget.
B) The credit limit is fixed at 10% of the aggregate outstanding commercial credit assets.
C) The credit limit is sanctioned at exactly 20% of the projected annual turnover, with the borrower contributing a minimum of 5% as equity margin.
D) The credit limit is capped at 50% of the registered commercial property valuation.

★ Answer & Rationale: C. Under the Projected Turnover Method (Nayak Committee), the total working capital requirement is assessed at 25% of the projected annual turnover. The bank sanctions 20% of the turnover as a Cash Credit limit, and the promoter contributes 5% of the turnover as Net Working Capital (equity margin).

Question 2 (Multiple Choice)

Under the RBI's IRACP directions, which of the following scenarios will legally classify a Cash Credit account as 'Out of Order'?

A) The outstanding balance remains below the sanctioned limit, and there are active credits covering the monthly interest.
B) The outstanding balance exceeds the sanctioned limit or drawing power for a continuous period of 90 days, or credits are insufficient to cover interest debited within the prior 90-day window.
C) The account is not formally reviewed within 30 days of its original expiry date.
D) The monthly stock statement is submitted with a minor administrative delay of 15 days.

★ Answer & Rationale: B. Under RBI directions, a CC account is classified as 'Out of Order' if the balance remains in excess of the sanctioned limit/drawing power for 90 days continuously, or if there are credits within a 90-day window but they are insufficient to cover the total interest debited during the same 90-day period.

Question 3 (Multiple Choice)

What is the regulatory consequence if a Cash Credit borrower fails to submit their Stock and Debtors Statement to the bank for an extended period?

A) The interest rate is increased by a 1% penal rate, but the drawing power remains unaffected.
B) The drawing power is deemed invalid, and if the delay in submitting fresh statements exceeds 180

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

days, the account is automatically downgraded to NPA.
C) The bank files an immediate recovery suit on CERSAI, bypassing all local civil and DRT courts.
D) The drawing power is automatically increased by 10% to prevent technical defaults on outstanding commercial bills.

★ Answer & Rationale: B. Under RBI Master Directions, stock and debtors statements older than 3 months (90 days) are considered invalid for drawing power computation. If the statement submission delay exceeds 180 days, the account must be automatically downgraded to NPA (Non-Performing Asset) due to technical default.

Question 4 (Multiple Choice)

Under Section 130 of the Transfer of Property Act, 1882, how does a bank legally secure its charge over the borrower's trade receivables?

A) By physically sealing the debtor's commercial offices and directing sub-dealers to halt retail sales.
B) Through the legal assignment of the book debts as 'actionable claims' in the tripartite agreements, granting the bank direct rights of collection from buyers.
C) By registering a primary real estate mortgage on the debtor's manufacturing premises.
D) Through the automatic liquidation of the borrower's equity shares on the national stock exchanges.

★ Answer & Rationale: B. Receivables and book debts are legally classified as 'actionable claims' under Indian law. Under Section 130 of the Transfer of Property Act, the bank secures its charge via the assignment of these actionable claims, allowing direct payment collections from the buyer.

Question 5 (Multiple Choice)

Why must 'Sundry Creditors for purchase of raw materials' (unpaid stock) be strictly deducted from the inventory valuation before computing Drawing Power?

A) To ensure that the business maintains a current ratio exceeding 3.50:1 under Ind AS 109.
B) To prevent double-financing, as the borrower does not have clean title over unpaid inventory, which is already backed by the supplier's credit.
C) To increase the promoter's mandatory Net Working Capital (NWC) contribution to 40%.
D) To comply with Section 43B(h) of the Income Tax Act regarding MSME payment defaults.

★ Answer & Rationale: B. Sundry creditors represent unpaid stock where the title has not cleanly passed to the borrower. Financing this unpaid stock would constitute double-financing, where both the supplier's credit and bank's credit overlap. Thus, sundry creditors must be subtracted from the inventory base before applying margins.

Question 6 (Multiple Choice)

Under the RBI's current account opening restrictions, if a borrower has an aggregate credit system exposure of ₹60 Crores, how must current account transactions be routed?

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

A) With any private sector bank of their choice, provided they install a POS machine of that bank.
B) Through a mandatory, centrally monitored Escrow Mechanism, and no bank is permitted to open separate current accounts unless they are part of the consortium lending arrangement.
C) Directly through the TReDS platform of RXIL or M1xchange to bypass commercial banks.
D) Exclusively through cash withdrawals, capped at ₹1 Lakh per operating day.

★ Answer & Rationale: B. To prevent fund siphoning and credit diversion, the RBI mandates that for borrowers with aggregate exposures of ₹50 Crores or more, a centralized Escrow Mechanism must be established. No non-lending bank can open a current account for such a borrower.

Question 7 (Multiple Choice)

What is the maximum permissible period within which a commercial bank must review and renew a Cash Credit limit under RBI commercial lending guidelines?

A) 30 days from the original due date.
B) 180 days from the original due date or expiry of the ad-hoc limit, after which the account is automatically downgraded to NPA.
C) 3 years, provided the borrower pays the annual commitment charges on unutilized portions.
D) 90 days from the date of the last submitted stock and debtors statement.

★ Answer & Rationale: B. Cash Credit limits are sanctioned for 12 months. Lenders are allowed an administrative grace window of 180 days from the original expiry date to review and renew the limit. Failure to renew the account within 180 days of expiry triggers automatic NPA classification.

Question 8 (Multiple Choice)

How are interest charges on a Cash Credit account calculated and charged under commercial banking standards in India?

A) Charged as a fixed monthly flat rate based on the sanctioned credit limit, regardless of utilization.
B) Calculated on the closing daily debit balance on a daily reducing balance basis, accumulated over the calendar month, and formally debited into the account on the final working day of that month.
C) Pre-calculated at the beginning of the year and amortized as equal monthly instalments (EMIs).
D) Capped at 5% of the total monthly sales turnover, charged only if the account is in technical default.

★ Answer & Rationale: B. Cash Credit interest is calculated using the closing debit balance of the account at the end of each day on a daily reducing balance basis. The accumulated daily interest charges are debited into the CC account on the final working day of each calendar month.

Question 9 (Analytical Case Question)

A trading enterprise has been sanctioned a Cash Credit limit of ₹50,00,000 (₹50 Lakhs) under the Projected Turnover Method (Nayak Committee). If the company's projected annual turnover is ₹2,00,00,000 (₹2 Crore), what is the mandatory equity margin (Net Working Capital) the promoter must contribute?

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

★ Rationale & Analysis:
Under the Projected Turnover Method (Nayak Committee), the promoter's mandatory equity contribution (Net Working Capital) is set at a minimum of **5% of the projected annual turnover**.
Promoter Contribution (NWC) = Projected Annual Turnover * 5% = ₹2,00,00,000 * 0.05 = **₹10,00,000 (₹10 Lakhs)**.
The bank's sanctioned credit limit is set at 20% of the projected turnover, which is ₹40,00,000. (Since the user has been sanctioned ₹50 Lakhs, the bank has appraised a higher working capital gap based on collateral or past reserves, but the baseline statutory promoter margin remains ₹10 Lakhs).

Question 10 (Analytical Case Question)

Under the Tandon Committee Second Method of Lending, a corporate borrower has Total Current Assets (TCA) of ₹4,00,00,000 (₹4 Crore) and Other Current Liabilities (OCL) of ₹1,00,00,000 (₹1 Crore). Calculate the Maximum Permissible Bank Finance (MPBF).

★ Rationale & Analysis:
Under the Tandon Second Method of Lending, the credit assessment steps are calculated as follows:
1. Working Capital Gap (WCG) = Total Current Assets (TCA) - Other Current Liabilities (OCL) = ₹4,00,00,000 - ₹1,00,00,000 = **₹3,00,00,000 (₹3 Crore)**.
2. Promoter's Mandatory Contribution (NWC) = 25% of Total Current Assets (TCA) = 0.25 * ₹4,00,00,000 = **₹1,00,00,000 (₹1 Crore)**.
3. Maximum Permissible Bank Finance (MPBF) = WCG - NWC = ₹3,00,00,000 - ₹1,00,00,000 = **₹2,00,00,000 (₹2 Crore)**.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.